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Automated Dispute Resolution System (ADRS) – A Proposed Initial Framework for Digital Justice in Online Consumer Transactions in India

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Abstract

In the new era of technology, innovativeness in technology is bursting into the legal domain. For a speedier and an inexpensive resolution of disputes, legal courts in India and in various other jurisdictions have ventured into the technological advancements. But Indian courts have minimal use of technology for exercising due process of law. There is much to be carried out to be in the fast-growing technology taking into consideration the current business demands. This article focuses on the existing dispute resolution mechanisms available in India to deal with business to consumer disputes (B2C) and in other jurisdictions dealing with digital consumer claims. Difficulties and challenges confronted by consumers in reality in the digital commerce transactions in terms of dispute resolution including online dispute resolution are well described and an initial framework for a unified model of computer automated dispute resolution system is proposed with the worked through example so as to ease the process of resolving digital consumer claims and to protect consumers rights and interests absolutely.

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Keywords: digital consumer; online dispute resolution; electronic transaction.

1. Introduction

A consumer transaction happening in the digital environment is initiated by an individual consumer going online, choosing the product or services which he intends to avail using the website of the business/service provider. The entire transaction is completed online between the consumer and the business by choosing the product/service as described and agreeing and signing on the terms and conditions provided by the business provider creating a binding nature on the part of both parties. In case of non-compliance of the terms which leads to deficiency of services or defects in the goods purchased, a dispute arises between parties and the consumer who is in a weaker position, aggrieved party in the transaction, will be left at stake

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as how to resolve the issue seeking appropriate remedy. Nowadays, businesses include dispute resolution clauses in their standard form contractual terms which gives information as how the dispute will be dealt with. But in a majority of situations those standard clauses don't reflect advantages or benefits for consumers and the effectiveness and enforceability of those clauses need to be challenged in the traditional courts. As technological revolution has taken place in the last two decades of twenty first century and it has resulted in advancements and innovativeness in all fields, origination of disruptive technologies in case of dispute resolution has reshaped boundaries to resolve disputes in the online environment and is better described as Online Dispute Resolution (ODR) (Rabinovich-Einy and Ethan Katsh, 2014) [1]. Though Alternative Dispute Resolution (ADR) has been well employed as an effective and efficient method of dispute resolution for civil claims when compared to traditional court processes as it possesses a lot of advantages which benefits claimants, the concept of ODR, which is nothing but use of ADR in the ICT (Information Communication Technology) environment is considered more effective than the traditional ADR mechanisms (Latifah, Bajrektarevic, Imanullah, 2019) [2]. Information Technology plays a major and a significant role in the dispute resolution processes and is one of the essential ingredients of ODR. One of the objectives of Artificial Intelligence and law is basically application of advanced technological innovations to the legal domain [3]. Susskind (2012) observed that ODR as one of the disruptive technologies will create an impact on the role of lawyers in dealing with matters in the future especially resolving complex and high value disputes [4]. ODR represents a deep shift from resolution of disputes using traditional adjudicative machineries to digital justice which leads to a lot of potential benefits like documentation which further facilitates high level of transparency, monitoring of the process, quality and consistency [5].

The main aim of the paper is to propose an initial framework for a unified automated intelligence system resolving business to consumer disputes in the digital environment. This article is based on the scholarly works published by researchers and authors in the field of ODR. The paper is organised as follows: in the next section, a brief introduction is provided with regard to the rapid growth of online business and role of ODR and its components and Section 3 mentions the functioning of the technological communication process of ODR in the digital environment. Section 4 briefly describes the existing well known ODR platforms in action and UNCITRAL approach. Section 5 explains the current redress process in India handling online consumer contractual disputes. Section 6 describes the initial framework of the automated intelligence system of dealing with dispute resolution processes with the worked thru real life example and Section 7 concludes the paper.

2. Growth of online businesses and Online dispute resolution

Disputes or conflict is very common in the traditional market environment and based on the nature and mode of transaction, it is easy to deal with and can be resolved. But the same is difficult in the online environment as online merchants and digital consumers strike a deal without knowing with whom they are contracting with. The advancements in technology and internet penetration across jurisdictions has made life easy for people to sit at one place and in few clicks, they can buy any product or avail services from any trader online across the globe. In this situation, consumers are much worried that they are not protected if anything goes wrong in the transaction made with the trader. They are afraid how they can resolve any disputes or problems which may arise out of their transaction. The current practice of ODR mechanism has paved way for online consumers to resolve their dispute and get appropriate remedies. This mechanism is more advantageous and beneficial for online consumers overcoming the jurisdictional issues raised by court processes to deal with claims which arises in cross border transactions. The ODR has three components: online negotiation, online mediation and online arbitration. Online negotiation or E-Negotiation is one of the most common form of dispute resolution, where the disputants can come forward voluntarily without third party assistance or intervention to resolve the matter within themselves. Julio César & Elina (2013), described in their scholarly article that negotiation via world wide web came into operation in the year 1996 and was developed and experimented in the context of cross -cultural study [6]. Janice Nadler (2001), observed that Online Mediation is basically a negotiated settlement process with the assistance of a neutral third party where TALK strategy is used effectively to create an amicable settlement in written form online as opposed to face-to-face interaction [7]. Chinthaka Liyanage (2010), has described in his work E-Arbitration as electronic

version of offline arbitration where an impartial third party is chosen by both the disputants and the matter is decided based on merits of the case [8]. ODR is welcomed by a good number of countries like European Union, United States, as a means of providing expanded access to justice for their netizens. A framework has been designed by those countries where regulations were made and implemented creating confidence and trust on e-consumers and speedier redressal of disputes.

In India, the use of technology in the court process as well as the alternative modes of dispute resolution is increasing tremendously. This inclusion of technology in the administrative process of courts started with the computerization of judicial documents. Though the entire process cannot be automated the Government continues with the usage of implementation of ICT into various spheres. Regarding ODR, the government is still at a very early stage but getting in action to modify the current law in place on ADR so as to incorporate the UNCITRAL (United Nations Convention on International Trade law) Framework for the ODR. Recently in June 2019, the Reserve Bank of India Governor observed while delivering a convocation speech at the National Institute of Bank Management that there is a need to address the existing inadequacies in customer service and benchmarking it against international standards. He added that the government is keen and continue to take efforts to build robust and effective redressal mechanisms for customer grievance to ascertain customers' confidence in payment systems [9]. The Reserve Bank of India in one of the recent documents published titled "Payment and Settlement Systems in India Vision 2019-20", has stated that the authorities are working on the implementation of technology-driven mechanisms for disputes redressal emphasizing on the benefits of transparency, customer friendliness, rule based which involves less or no human intervention will be encouraged. In May 2019, the High-level committee on Deepening of Digital Payments released a report which stated that nowadays people go digital and they expect high level of quality of service for digital payments made. It was reported that the committee recommends for ODR systems to handle complaints absolutely online [10]. An urgent need of ODR is felt, and it is high time now that the government should take immediate steps to provide speedier justice through ODR and the country must ensure that their citizen's rights are absolutely protected.

3. Technological Communication in the process of ODR

Lodder and Zeleznikow, (2010) in their research had explained the technological aspect of communication in the process of ODR systems. The technological communication used in ODR is highly similar to usual electronic communication technology. In the concept of ODR, the major difference is between synchronous communication and asynchronous communication. Synchronous communication is better described as direct communication with a minimal time duration between the moment comment made by first party in a discussion and the second party will respond to the first party immediately. This is to be called as face-to-face communication and this happens in the digital environment using chat rooms, video conferencing, etc. In the case of asynchronous communication, parties do not get involved in discussion at the same time. There will be either no instant communication or immediate response. In the digital environment, discussion forums, email which is still determined as non-instantaneous are considered as asynchronous communication [11]. It should be noted that ODR works on a combination of both of these forms of communication. Documents related to complaints can be exchanged or uploaded by the disputant through email or in the shared folders, followed by video conferencing using social media platforms like Skype, Imo networks, etc. ODR administrators prefer the second type of communication on the reason that they will have reasonable time frame to look into the documents shared and can co-ordinate with the parties to agree on a time for meeting. This process will ease the situation for parties to reduce their tensions, stabilize emotions, etc. so that they can concentrate on the real issues. The usage of both these communications has benefits and advantages. It depends on the nature of the dispute and the gravity of the problem which has affected parties. Ayelet Sela (2018) described that the process of ODR is a compound concept which comprises of dispute resolution method such as arbitration or mediation and the technological tools used to effectuate i.e. software powered v human powered. It was observed that ODR applications are more than a software where extensive reliance on digital tools to provide services when compared to traditional processes [12]. Katsh and Rifkin (2001), explained that in ODR, the information administration role is highly carried out by physical persons and the computers and software. The assistance provided by the ICT to carry out the process in dealing with dispute is regarded as a fourth party. In other words, technology has been brought into the process where it is a high influence to deal with the matter to change the traditional

process of 3-member model. He has added that ODR is looked into as an independent input to the administration and management of the dispute [13].

4. Existing well known ODR platforms in action in handling electronic transactions and UNCITRAL approach

4.1 eBay ODR system:

ODR researchers in a good number of studies have expressed that eBay ODR system is the best-known well-suited system which had achieved impressive results handling huge number of cases and effective system design. To carry out the mediation process online, a link has been created in the eBay site. Based on the pilot study, eBay contracted with Square Trade to develop an ODR system to handle large number of disputes likely to originate from eBay website users. A system which consists of two-stage process (online negotiation and online mediation) has been established. The offline processes of dealing with consumer related disputes were replaced with digital resolution of disputes. This led to handling large volume of cases using the software assisted process. It has been reported that Square Trade has dealt with millions of disputes each year with their own in-house systems developed between the years 2003 to 2011. The eBay ODR process played a major role creating consumer trust by linking both communication tools and information processing tools facilitating the process effectively through their resolution center [14].

4.2 European Union ODR framework:

European Union is the first to establish and launch a unified ODR approach to settle online consumer claims. A framework on e-commerce directive originated in the year 2000 and ODR regulations on the use of electronic means for resolution of disputes promulgated in 2013. To create trust and confidence in the digital market, EU intended to accomplish a high level of consumer protection in electronic commerce cases. The procedure set out in the EU ODR process is as follows described in Fig 1:



Fig 1: EU ODR Process

A complaint is submitted by the consumer-claimant in the ODR platform upon registration, the trader will respond to the complaint receiving the same, and both parties need to reach a consensus to have a competent ADR entity to deal with the dispute [15]. ODR is available for consumers in various jurisdictions. As a policy matter, various North American and Asian countries have established ODR approaches. Some of the other famous ODR platforms in action across the world are: Nominet, Resolver, Cybersettle, Modria, etc.

4.3 UNCITRAL Model Law on ODR:

United Nations Commission on International Trade Law is very active working on transnational norms of ODR. UNCITRAL plays a major role towards setting up a working group to formulate procedures on ODR. Section 3 of the UNCITRAL published document titled 'Technical Notes on Online Dispute Resolution 2017' [16] states three stages in the process of ODR as follows: 1) First stage – a technology enabled negotiation – parties to the dispute attempting to negotiate directly to resolve the matter; 2) Second stage – facilitated settlement stage – mediator to communicate with disputants to arrive at an amicable settlement; 3) Third stage – commencement of ODR proceedings – parties will be informed of the process by a neutral third party appointed.

5. How online consumer disputes redress mechanisms works in India

In India, disputes arising out of electronic transactions can be referred to the legal forums for appropriate redressal. A consumer who is aggrieved of the electronic contract due to violation of his rights is entitled to an approach as prescribed below in Fig 2.

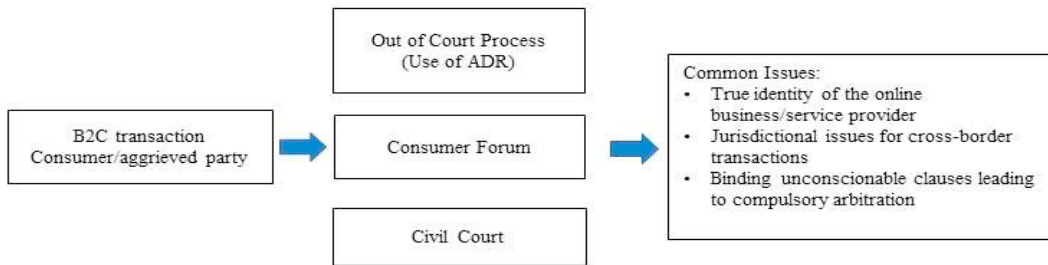


Fig 2: Existing mechanisms for resolution of consumer disputes in India

Traditional dispute resolution mechanisms create challenges and difficulties for an aggrieved consumer to enforce the guaranteed consumer rights. For the case to be taken up for consideration in the consumer forum or civil court, the claimant/consumer should have to establish the case where there are various factors the adjudicative authorities will look at which includes: personal identity of the respondent; possibility of bringing the respondent/second party into the adversarial process; proof of evidence related to the claim; etc. One of the major difficulties at the first instance is to engage or seek attorney/legal advice to know the procedural rules as how to approach the redressal authorities seeking remedies. If the contractual document contains jurisdictional clauses, as it has binding effect on the parties to the transaction and if the clause is unreasonable or unfair affecting the consumer's interest, since the contractual clauses are prescribed by the business provider on a take it or leave it basis. If parties to the dispute opt for ADR (out of the court process), there are other challenges faced by the aggrieved party/consumer like agreeing on the third-party arbitrator, physical appearance/attendance for the procedure, costs of arbitration proceedings, limited grounds of appeal, etc. [17]

6. Proposed framework for a unified dispute resolution system to handle B2C claims

As an illustrative example, one of my students studying law at an undergraduate level, had an issue in terms of e-commerce transaction. He made an attempt to go online to book a flight through an airline company website and the entire transaction was completed online. During his travel, due to deficiency of services on the part of airline company, his baggage was misplaced and was returned after an undue delay and a report has been generated with the airline company. Based on the terms and the refund policy incorporated, a complaint has been lodged by the consumer with the airline company but there was no response from the company. In this situation, as a matter of consumer rights, the consumer can challenge the violation and can seek appropriate remedy. Based on the existing consumer dispute resolution mechanisms in India, the aggrieved party/affected consumer may approach the consumer forum to file an official complaint seeking appropriate redressal of dispute. The consumer forum is bound by procedural rules and due process of law should be exercised to resolve the matter which is time consuming to achieve the final outcome. The suggested framework to resolve consumer claims through electronic handling will maximize the benefit and the efficiency in handling the issue/problems. The intelligence system suggested, as described in Fig 3 below, has three stages (phases) to reach a final conclusion to be drawn in the case.

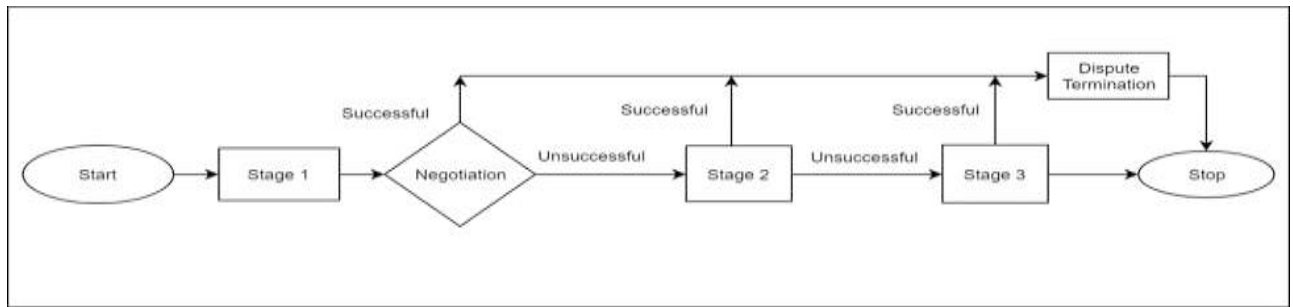


Fig 3 : An overview of the stages in the Automated Dispute Resolution System

The mechanism of the workflow of the stages of ADRS is described below in Fig 4. **The first stage** – Online negotiation phase is designed to help claimant/first party to lodge an electronic complaint and to provide information about the subject matter – types of goods/services – filing of documents pertaining to the claim. The statement of claim will be forwarded to the business provider/second party for their answer. Upon receiving the answer from the second party, the first party will be communicated with the outcome. This is a stage where the system will coordinate with the disputants to resolve the issue without developing the matter as a major legal problem. This can also be referred to as an early stage of dispute resolution. **The second stage** – Online facilitative settlement phase is designed to help aggrieved party to proceed to the second stage if there is no arrangement attained (problems not solved) between parties at the first stage. At this stage the parties can nominate a third party as a facilitator from the list of government approved mediators available who can review the statements and papers, hear from them online using technological tools and can advise them to go for an amicable settlement suggesting ways to resolve their dispute. Upon agreement between parties based on mediated negotiation, a conclusion can be drawn, and a correspondence/notification will be made to the disputants. The approach at this stage is highly inquisitorial in nature. **The third stage** – Online arbitration phase is subjected when the second stage of dispute resolution is unsuccessful and is designed where parties to the dispute can proceed seeking a final conclusion based on merits of the case. At this stage, the disputants can agree on an arbitrator – a third party not related to the parties, nominated from the list of arbitrators available who decides the matter put forward to him by hearing from both sides through online conferencing facilities, reviewing the documents, statements and other related material documents filed electronically. The outcome of the case will be corresponded/ notified to the disputants as binding decision on both having legal effect as a civil court judgment and the dispute will be terminated.

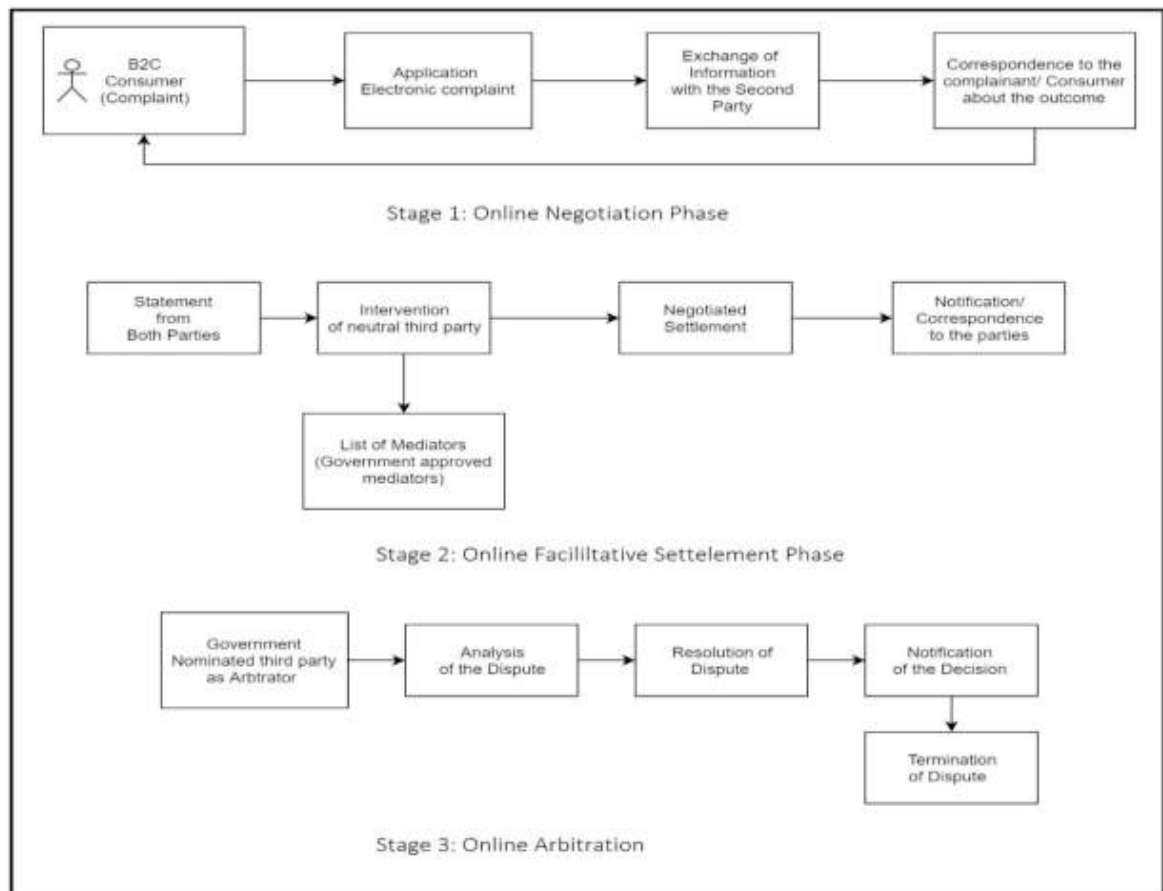


Fig 4 : Work flow of the stages in the Automated Dispute Resolution System (ADRS)

7. Conclusion and Future works

As India's e-commerce market is fast growing, business to consumer transactions grow rapidly both locally and internationally and a number of problems arises starting from product defects, deficiency of services, delivery of faulty products, etc. A recent report published by Deloitte India in Feb. 2019 has described that e-commerce will be the engine of the next level of Indian consumer growth and is expected to grow from \$200 billion to \$ 1.2 trillion by 2021 [18]. The report further states that the major factor for the growth projection is changing purchase patterns. The mechanism of dispute resolution needs to be improved with a proper information system developed for addressing and resolving disputes in the electronic space. The suggested framework would allow consumers to have easy access to justice which can happen absolutely online under the governmental regulation upon establishing legal standards having effectiveness upon implementation of principles and also contributes to the increase of consumer trust and confidence dealing with in the e-commerce environment. According to Pablo Cortes, there is a rapid increase in use of ADR, online social networking, transnational ecommerce which leads to high level of market expansion around the world. ODR may not benefit only B2C transactions to resolve but also there are other spheres like disputes which may arise from SMEs or even outside the commercial matters such as citizen to government (C2G) etc. [19].

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